

COMMITTEE ON APPROPRIATIONS
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1250
(Reference to Senate engrossed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 34-101, Arizona Revised Statutes, is amended to
3 read:

4 34-101. Definitions

5 In this title, unless the context otherwise requires:

6 1. "Agent":

7 (a) Means any county, city or town, or officer, board or commission
8 of any county, city or town, and irrigation, power, electrical, drainage,
9 flood protection and flood control districts, tax levying public
10 improvement districts and county or city improvement districts.

11 (b) Includes any county board of supervisors and any representative
12 authorized by an agent to act as an agent for the purpose of authorizing
13 necessary change orders to previously awarded contracts in accordance with
14 guidelines established by rule of the agent, including the board of
15 supervisors.

16 2. "Architect services" means those professional architect services
17 that are within the scope of architectural practice as provided in title
18 32, chapter 1.

19 3. "Construction":

20 (a) Means the process of building, altering, repairing, improving
21 or demolishing any public structure or building or other public
22 improvements of any kind to any public real property.

23 (b) Does not include the routine operation, routine repair or
24 routine maintenance of existing facilities, structures, buildings or real
25 property.

26 4. "Construction-manager-at-risk" means a project delivery method
27 in which:

28 (a) There is a separate contract for design services and a separate
29 contract for construction services, except that instead of a single
30 contract for construction services, the agent may elect separate contracts
31 for preconstruction services during the design phase, for construction
32 during the construction phase and for any other construction services.

33 (b) The contract for construction services may be entered into at
34 the same time as the contract for design services or at a later time.

35 (c) Design and construction of the project may be either:

36 (i) Sequential with the entire design complete before construction
37 commences.

1 (ii) Concurrent with the design produced in two or more phases and
2 construction of some phases commencing before the entire design is
3 complete.

4 (d) Finance services, maintenance services, operations services,
5 preconstruction services and other related services may be included.

6 5. "Construction services" means either of the following for
7 construction-manager-at-risk, design-build and job-order-contracting
8 project delivery methods:

9 (a) Construction, excluding services, through the
10 construction-manager-at-risk or job-order-contracting project delivery
11 methods.

12 (b) A combination of construction and, as elected by the agent, one
13 or more related services, such as finance services, maintenance services,
14 operations services, design services and preconstruction services, as
15 those services are authorized in the definitions of
16 construction-manager-at-risk, design-build or job-order-contracting in
17 this section.

18 6. "Contract" means all types of agent agreements, regardless of
19 what they are called, for the procurement of services pursuant to this
20 title.

21 7. "Contractor" means any person who has a contract with an agent.

22 8. "Design-bid-build" means a project delivery method in which:

23 (a) There is a sequential award of two separate contracts.

24 (b) The first contract is for design services.

25 (c) The second contract is for construction.

26 (d) Design and construction of the project are in sequential
27 phases.

28 (e) Finance services, maintenance services and operations services
29 are not included.

30 9. "Design-build" means a project delivery method in which:

31 (a) There is a single contract for design services and construction
32 services, except that instead of a single contract for design services and
33 construction services, the agent may elect separate contracts for
34 preconstruction services and design services during the design phase, for
35 construction and design services during the construction phase and for any
36 other construction services.

37 (b) Design and construction of the project may be either:

38 (i) Sequential with the entire design complete before construction
39 commences.

40 (ii) Concurrent with the design produced in two or more phases and
41 construction of some phases commencing before the entire design is
42 complete.

43 (c) Finance services, maintenance services, operations services,
44 preconstruction services and other related services may be included.

45 10. "Design professional" means an individual or firm that is
46 registered by the state board of technical registration pursuant to title
47 32, chapter 1 to practice architecture, engineering, geology, landscape

1 architecture or land surveying or any combination of those professions and
2 persons employed by the registered individual or firm.

3 11. "Design requirements":

4 (a) Means at a minimum the agent's written description of the
5 project or service to be procured, including:

6 (i) The required features, functions, characteristics, qualities
7 and properties.

8 (ii) The anticipated schedule, including start, duration and
9 completion.

10 (iii) The estimated budgets applicable to the specific procurement
11 for design and construction and, if applicable, for operation and
12 maintenance.

13 (b) May include:

14 (i) Drawings and other documents illustrating the scale and
15 relationship of the features, functions and characteristics of the
16 project, which shall all be prepared by a design professional who is
17 registered pursuant to section 32-121.

18 (ii) Additional design information or documents that the agent
19 elects to include.

20 12. "Design services" means architect services, engineer services
21 or landscape architect services.

22 13. "Direct selection" means the selection of a technical
23 registrant without the requirement of advertising or the use of a current
24 register.

25 14. "Engineer services" means those professional engineer services
26 that are within the scope of engineering practice as provided in title 32,
27 chapter 1.

28 15. "Finance services" means financing for a construction services
29 project.

30 16. "Horizontal construction" means construction of highways,
31 roads, streets, PIPELINES, bridges, canals, floodways, earthen dams,
32 landfills, light rail and airport runways, taxiways and aprons. For the
33 purposes of this paragraph: ~~;~~

34 (a) Light rail does not include any related rail stations,
35 maintenance facilities or parking facilities.

36 (b) PIPELINES DO NOT INCLUDE MUNICIPALLY OWNED NATURAL GAS
37 PIPELINES, REGULATOR STATIONS FOR GAS PIPELINES, GATE STATIONS FOR GAS
38 PIPELINES OR METER ASSEMBLIES FOR GAS PIPELINES.

39 17. "Job-order-contracting" means a project delivery method in
40 which:

41 (a) The contract is a requirements contract for indefinite
42 quantities of construction.

43 (b) The construction to be performed is specified in job orders
44 issued during the contract.

45 (c) Finance services, maintenance services, operations services,
46 preconstruction services, design services and other related services may
47 be included.

1 18. "Landscape architect services" means those professional
2 landscape architect services that are within the scope of landscape
3 architectural practice as provided in title 32, chapter 1.

4 19. "Maintenance services" means routine maintenance, repair and
5 replacement of existing facilities, structures, buildings or real
6 property.

7 20. "Materials":

8 (a) Means all property, including equipment, supplies, printing,
9 insurance and leases of property.

10 (b) Does not include land, a permanent interest in land or real
11 property or leasing space.

12 21. "Operations services" means routine operation of existing
13 facilities, structures, buildings or real property.

14 22. "Person" means any corporation, business, individual, union,
15 committee, club, other organization or group of individuals.

16 23. "Preconstruction services" means services and other activities
17 during the design phase.

18 24. "Procurement":

19 (a) Means buying, purchasing, renting, leasing or otherwise
20 acquiring any materials, services, construction or construction services.

21 (b) Includes all functions that pertain to obtaining any materials,
22 services, construction or construction services, including description of
23 requirements, selection and solicitation of sources, preparation and award
24 of contract and all phases of contract administration.

25 25. "Public competition" means a competitive procurement process
26 pursuant to section 34-103, subsection G that includes advertising in a
27 public newspaper and a qualification-based selection process.

28 26. "Services":

29 (a) Means the furnishing of labor, time or effort by a contractor
30 or subcontractor that does not involve the delivery of a specific end
31 product other than required reports and performance.

32 (b) Does not include employment agreements or collective bargaining
33 agreements.

34 27. "Subcontractor" means a person who contracts to perform work or
35 render service to a contractor or to another subcontractor as a part of a
36 contract with an agent.

37 28. "Technical registrant" means a person who provides any of the
38 professional services listed in title 32, chapter 1.

39 Sec. 2. Section 34-103, Arizona Revised Statutes, is amended to
40 read:

41 34-103. Employment of technical registrants for work on
42 public buildings and structures; direct selection;
43 final list selection; public competition

44 A. An agent shall procure professional services from a technical
45 registrant in the manner prescribed in chapter 6 of this title if the
46 contract is for an amount of more than ~~five hundred thousand dollars~~ THE
47 ADJUSTED AMOUNT PURSUANT TO SUBSECTION B OF THIS SECTION.

1 B. An agent may procure professional services from a technical
2 registrant in the manner prescribed in chapter 6 of this title or as
3 prescribed in subsection D of this section if the contract is for an
4 amount of ~~five hundred thousand dollars~~ \$1,000,000 or less AND SHALL BE
5 ADJUSTED BY THE ANNUAL PERCENTAGE CHANGE IN THE GDP PRICE DEFLATOR AS
6 DEFINED IN SECTION 41-563.

7 C. If authority is given by law to an agent to construct a building
8 or structure, or additions to or alterations of existing buildings, the
9 agent shall employ an architect or engineer, or both, as warranted by the
10 type of construction, if the agent deems the work to be of a nature that
11 requires such employment.

12 D. An agent may employ a technical registrant by direct selection,
13 by public competition pursuant to subsection G of this section or pursuant
14 to subsections E and F of this section if the contract is for an amount of
15 five hundred thousand dollars or less.

16 E. The agent may elect to employ a technical registrant or
17 technical registrants by encouraging persons or firms engaged in the
18 lawful practice of the profession to submit annually a statement of
19 qualifications and experience. If the agent elects to employ a technical
20 registrant or technical registrants by this method, the agent shall
21 initiate an appropriately qualified selection committee for each
22 procurement, which may include one contract or multiple contracts, in
23 accordance with rules adopted by the agent. The amount of each contract
24 in a single procurement under this subsection and subsection F of this
25 section shall not exceed the dollar amount limits in subsections B and D
26 of this section. The selection committee shall evaluate current
27 statements of qualifications and experience on file with the agent
28 together with those that may be submitted by other persons or firms
29 regarding the procurement. If possible and practicable, the selection
30 committee shall conduct interviews regarding the procurement and the
31 relative methods of furnishing the required services and, if possible,
32 shall select, in order of preference and based on criteria established and
33 published by the selection committee, one or more final lists of the
34 persons or firms deemed to be the most qualified to provide the services
35 required. The selection committee shall base the selection of each final
36 list and the order of preference on each final list on demonstrated
37 competence and qualifications only. The agent and the selection committee
38 shall not request or consider fees, price, man-hours or any other cost
39 information at any point in the selection process under this subsection,
40 including the selection of the persons or firms to be interviewed, the
41 selection of the persons and firms to be on a final list, in determining
42 the order of preference of persons and firms on a final list or for any
43 other purpose in the selection process. If the procurement is for:

44 1. A single contract or if the procurement is for multiple
45 contracts to be awarded to a single person or firm, there shall be one
46 final list of at least three but no more than five persons or firms.

1 2. Multiple contracts for different technical registrant services
2 to be awarded to separate persons or firms, there shall be a separate
3 final list for each type of technical registrant services and the number
4 of persons or firms on each final list shall be the number of contracts
5 for each type of technical registrant service plus another number that is
6 determined by the agent and that is not more than five.

7 3. Multiple contracts for similar technical registrant services to
8 be awarded to separate persons or firms, there shall be one final list and
9 the number of persons or firms on the final list shall be the number of
10 contracts plus another number that is determined by the agent and that is
11 not more than five.

12 F. After each final list is selected pursuant to subsection E of
13 this section, the agent shall enter into negotiations with the highest
14 qualified person or firm on each final list or, in the case of a final
15 list for multiple contracts to be awarded to separate persons or firms,
16 the agent shall enter into negotiations with a number of the highest
17 qualified persons or firms on a final list equal to the number of
18 contracts that may or will be awarded. The negotiations shall include
19 consideration of compensation and other contract terms that the agent
20 determines to be fair and reasonable to the agent. In making this
21 determination, the agent shall take into account the estimated value, the
22 scope, the complexity and the nature of the professional services to be
23 rendered. If the agent is not able to negotiate a satisfactory contract
24 with a person or firm with which the agent is negotiating at a price and
25 on other contract terms the agent determines to be fair and reasonable,
26 the agent shall formally terminate negotiations with that person or firm.
27 The agent may enter into negotiations with the next most qualified person
28 or firm on the final list in sequence until an agreement is reached or a
29 determination is made to reject all persons or firms on the final list.
30 If the agent terminates negotiations with a person or firm on a final list
31 and commences negotiations with another person or firm on a final list,
32 the agent shall not in that procurement recommence negotiations or enter
33 into the single contract or multiple contracts for the technical
34 registrant services covered by that final list with any person or firm on
35 that final list with whom the agent has terminated negotiations.

36 G. If competitive designs are solicited, the agent shall publish
37 notice of the competition at least thirty days before the date set for
38 closing the competition. The notice shall include the following:

- 39 1. The project title and description.
- 40 2. The design and construction budget.
- 41 3. The competitive process and criteria to be used to select the
42 winning offeror.
- 43 4. The amount of the stipend to be paid to the unsuccessful
44 offerors.
- 45 5. The offerors' response date.
- 46 6. The person to contact to obtain additional information regarding
47 the competition.

1 7. Any other requirements established by the agent as appropriate.
2 Sec. 3. Section 34-603, Arizona Revised Statutes, is amended to
3 read:

4 34-603. Procurement of professional services and
5 construction-manager-at-risk, design-build and
6 job-order-contracting construction services;
7 definition

8 A. Except for services that are under a single contract and that an
9 agent procures pursuant to section 34-103 or 34-606, an agent shall
10 procure a single contract for the following services pursuant to this
11 section:

- 12 1. Architect services.
- 13 2. Construction-manager-at-risk construction services.
- 14 3. Design-build construction services.
- 15 4. Engineer services.
- 16 5. Job-order-contracting construction services.
- 17 6. Landscape architect services.
- 18 7. Assayer services.
- 19 8. Geologist services.
- 20 9. Land surveying services.
- 21 10. PROGRAM MANAGEMENT SERVICES.
- 22 11. PROJECT MANAGEMENT AND CONSTRUCTION MANAGEMENT SERVICES.
- 23 12. LAND AND RIGHT-OF-WAY ACQUISITION SERVICES.

24 B. An agent shall provide notice of each procurement of
25 professional services or construction services specified in this section
26 and shall award the single contract on the basis of demonstrated
27 competence and qualifications for the type of professional services or
28 construction services pursuant to the procedures prescribed in this
29 section.

30 C. In a procurement of a single contract for professional services
31 or construction services pursuant to this section:

32 1. The following requirements apply:

33 (a) The agent and the selection committee shall not request or
34 consider fees, price, man-hours or any other cost information at any point
35 in the selection process under this subsection or under subsection D of
36 this section, including the selection of persons or firms to be
37 interviewed, the selection of persons or firms to be on the final list, in
38 determining the order of preference of persons or firms on the final list
39 or for any other purpose in the selection process.

40 (b) In determining the persons or firms to participate in any
41 interviews and in determining the persons and firms to be on the final
42 list and their order on the final list, the selection committee shall use
43 and shall consider only the criteria and weighting of criteria specified
44 by the agent for that purpose as provided in this subsection. No other
45 factors or criteria may be used in the evaluation, determinations and
46 other actions.

1 (c) An agent is limited to one contract in each procurement under
2 this section. Alternatively:

3 (i) For construction-manager-at-risk construction services, an
4 agent may elect separate contracts for preconstruction services during the
5 design phase, for construction during the construction phase and for any
6 other construction services.

7 (ii) For design-build construction services, an agent may elect
8 separate contracts for preconstruction services and design services during
9 the design phase, for construction and design services during the
10 construction phase and for any other construction services.

11 (iii) For professional services, an agent may enter into multiple
12 contracts for different phases of a single project.

13 (d) All construction-manager-at-risk construction services or
14 design-build construction services included in a procurement under
15 this section shall be limited to construction services to be performed at
16 a single location, a common location or, if the construction services are
17 all for a similar purpose, multiple locations. For
18 construction-manager-at-risk construction services and design-build
19 construction services to be performed at multiple locations:

20 (i) At the time the request for qualifications is issued, the agent
21 must intend to commence all construction at each location within thirty
22 months after execution of the first contract for preconstruction services
23 or other construction services at any of the locations.

24 (ii) The request for qualifications must include the information
25 described in paragraph 2, subdivision (g) of this subsection.

26 (e) If the agent enters into the first contract for preconstruction
27 services, construction services or professional services as the result of
28 the procurement, the procurement under this section ends. After execution
29 of that first contract the agent may not use the procurement or the
30 existing final list in the procurement as the basis for entering into a
31 contract with any other person or firm that participated in the
32 procurement.

33 (f) Notwithstanding any other provision of this section specifying
34 the number of persons or firms to be interviewed, the number of persons or
35 firms to be on a final list or any other numerical specification in this
36 section:

37 (i) If a smaller number of persons or firms respond to the request
38 for qualifications or if one or more persons or firms drop out of the
39 procurement so that there is a smaller number of persons or firms
40 participating in the procurement, the agent may elect to proceed with the
41 procurement with the participating persons or firms if there are at least
42 two participating responsive and responsible persons or firms.
43 Alternatively, the agent may elect to terminate the procurement.

44 (ii) As to a request for qualifications for professional services
45 or construction services to be negotiated pursuant to subsection E of this
46 section only, if only one responsive and responsible person or firm
47 responds to the request for qualifications or, if one or more persons or

1 firms drop out of the procurement so that only one responsive and
2 responsible person or firm remains in the procurement, the agent may elect
3 to proceed with the procurement with only one person or firm if the agent
4 determines in writing that the fee negotiated pursuant to subsection E of
5 this section is fair and reasonable and that either other prospective
6 persons or firms had reasonable opportunity to respond or there is not
7 adequate time for a resolicitation.

8 (iii) If a person or firm on the final list withdraws or is removed
9 from the procurement and the selection committee determines that it is in
10 the best interest of the agent, the selection committee may replace that
11 person or firm on the final list with another person or firm that
12 submitted qualifications in the procurement and that is selected by the
13 selection committee as the next most qualified.

14 2. An agent shall issue a request for qualifications for each
15 procurement and publish notice of the request for qualifications. This
16 notice shall be published by advertising in a newspaper of general
17 circulation in the county in which the agent is located for two
18 consecutive publications if it is a weekly newspaper or for two
19 publications that are at least six but no more than ten days apart if it
20 is a daily newspaper. The request for qualifications shall:

21 (a) State that one contract may or will be awarded, describe the
22 services to be performed under the contract and state that one person or
23 firm may or will be awarded the contract.

24 (b) In a procurement of a contract to be negotiated under
25 subsection E of this section, state that there will be a single final list
26 of at least three and not more than five persons or firms. In a
27 procurement in which the contract will be awarded under subsection F of
28 this section, the request for qualifications shall state that there will
29 be a single final list and that the number of persons or firms on the
30 final list will be three.

31 (c) As prescribed below, state the selection criteria and relative
32 weight of the selection criteria to be used by the selection committee,
33 except that for construction services one of the criteria shall be the
34 person's or firm's subcontractor selection plan or procedures to implement
35 the agent's subcontractor selection plan. All selection criteria under
36 this subsection shall be factors that demonstrate competence and
37 qualifications for the type of professional services or construction
38 services included in the procurement. If:

39 (i) Interviews will be held, the request for qualifications shall
40 state the selection criteria and relative weight of the selection criteria
41 to be used in selecting the persons or firms to be interviewed and the
42 request for qualifications may state the selection criteria and relative
43 weight of the selection criteria to be used in selecting the persons or
44 firms on the final list and in determining their order on the final list.
45 The final list selection criteria and relative weights may be different
46 than the selection criteria and relative weights used to determine the
47 persons or firms to be interviewed. The request for qualifications shall

1 also state whether the agent will select the persons or firms on the final
2 list and their order on the final list solely through the results of the
3 interview process or through the combined results of both the interview
4 process and the evaluation of statements of qualifications and performance
5 data submitted in response to the agent's request for qualifications.

6 (ii) Interviews will not be held, the request for qualifications
7 shall state the selection criteria and relative weight of the selection
8 criteria to be used in selecting the persons or firms on the final list
9 and in determining their order on the final list.

10 (d) If the agent will hold interviews as part of the selection
11 process, state that interviews will be held and that the interviews will
12 be with at least three but not more than five persons or firms.

13 (e) For procurements of construction services, include either:

14 (i) A requirement that each person or firm submit a proposed
15 subcontractor selection plan and a requirement that the proposed
16 subcontractor selection plan must select subcontractors based on
17 qualifications alone or on a combination of qualifications and price and
18 shall not select subcontractors based on price alone.

19 (ii) A subcontractor selection plan adopted by the agent that
20 applies to the person or firm that is selected to perform the construction
21 services and that requires subcontractors to be selected based on
22 qualifications alone or on a combination of qualifications and price and
23 not based on price alone and a requirement that each person or firm must
24 submit a description of the procedures it proposes to use to implement the
25 agent's subcontractor selection plan.

26 (f) Include a description of the publicly available location of the
27 agent's protest policy and procedures or, if the agent does not have a
28 protest policy and procedures, a statement that the protest policy and
29 procedures referred to in subsection ~~J~~ K of this section apply to any
30 protests in connection with the procurement.

31 (g) In a procurement of construction-manager-at-risk construction
32 services or design-build construction services to be performed at multiple
33 locations, include:

34 (i) A brief description of the construction services to be
35 performed at each location.

36 (ii) The estimated budget for the construction services to be
37 performed at each location.

38 (iii) A schedule for the construction services to be performed at
39 each location that shows the agent's intent to commence all construction
40 at each location within thirty months after execution of the first
41 contract for preconstruction services or other construction services at
42 any of the locations.

43 3. An agent shall initiate an appropriately qualified selection
44 committee for each request for qualifications. The agent shall ensure
45 that the selection committee members are competent to serve on the
46 selection committee. Each selection committee must include one employee
47 of the agent or an agent representative who is appointed by the agent. If

1 the agent is procuring professional services, the agent shall determine
2 the number and qualifications of the selection committee members. A
3 selection committee for the procurement of construction services shall not
4 have more than seven members, except that, if the contract involves the
5 agent and additional governmental or private participants, the number of
6 members of the selection committee shall be increased by one for each
7 additional participant, except that the maximum number of members of the
8 selection committee is nine. The selection committee for construction
9 services shall include at least one person who is a senior management
10 employee of a licensed contractor and one person who is an architect or an
11 engineer who is registered pursuant to section 32-121. These members may
12 be employees of the agent or outside consultants. Outside contractors,
13 architects and engineers serving on a selection committee shall not
14 receive compensation from the agent for performing this service, but the
15 agent may elect to reimburse outside contractors, architects and engineers
16 for travel, lodging and other expenses incurred in connection with service
17 on a selection committee. A person who is a member of a selection
18 committee shall not be a contractor under a contract awarded under the
19 procurement or provide any professional services, construction,
20 construction services, materials or other services under the contract.
21 The selection committee and the agent shall do the following:

22 (a) If interviews are specified in the request for qualifications:

23 (i) The selection committee shall determine the persons or firms to
24 be interviewed by evaluating the statements of qualifications and
25 performance data that are submitted in response to the agent's request for
26 qualifications based only on the selection criteria and relative weight of
27 the selection criteria stated in the request for qualifications to be used
28 to determine the persons or firms to be interviewed.

29 (ii) If the selection criteria and relative weight of the selection
30 criteria to be used by the selection committee to select the persons or
31 firms on the final list and to determine their order on the final list are
32 not included in the request for qualifications, before the interviews are
33 held the agent shall distribute to the persons or firms to be interviewed
34 the selection criteria and relative weight of the selection criteria to be
35 used to select the persons or firms on the final list and to determine
36 their order on the final list. These selection criteria and relative
37 weight may be different than the selection criteria and relative weight
38 used to determine the persons or firms to be interviewed.

39 (iii) The selection committee shall conduct interviews with the
40 number of persons or firms to be interviewed as stated in the request for
41 qualifications regarding the professional services or construction
42 services and the relative methods of approach for furnishing the required
43 professional services or construction services.

44 (b) Based only on the selection criteria and relative weight of the
45 selection criteria specified as provided in this subsection for selection
46 of the persons or firms on the final list and their order on the final
47 list, the selection committee shall select the persons or firms for the

1 final list and, in the case of a final list for a contract that will be
2 negotiated under subsection E of this section, rank the persons or firms
3 on the final list in order of preference.

4 (c) If the contract will be negotiated under subsection E of this
5 section, before or at the same time as the agent notifies the highest
6 ranking person or firm on the final list that it is the highest ranking
7 person or firm, the agent shall send actual notice to each of the
8 following that it is not the highest person or firm on the final list or
9 that another person or firm is the highest ranking person or firm on the
10 final list:

11 (i) If interviews were held, the other persons and firms
12 interviewed.

13 (ii) If interviews were not held, the other persons and firms that
14 made submittals.

15 (d) If the contract will be awarded under subsection F of this
16 section, before or at the same time as the agent notifies the persons or
17 firms on the final list that they are on the final list, the agent shall
18 send actual notice to each of the following persons or firms that they are
19 not on the final list or that other persons or firms are on the final
20 list:

21 (i) If interviews were held, the other persons or firms
22 interviewed.

23 (ii) If interviews were not held, the other persons or firms that
24 made submittals.

25 D. An agent shall award the single contract under the procurement
26 as provided in subsection E, ~~or~~ F OR G of this section.

27 E. The agent shall conduct negotiations with persons or firms on
28 the final list as follows:

29 1. The procurement is for a single contract for construction
30 services or professional services, and there is one final list.

31 2. The negotiations shall include consideration of compensation and
32 other contract terms that the agent determines to be fair and reasonable
33 to the agent. In making this decision, the agent shall take into account
34 the estimated value, the scope, the complexity and the nature of the
35 professional services or construction services to be rendered.

36 3. The agent shall enter into negotiations with the highest
37 qualified person or firm on the final list.

38 4. If the agent is not able to negotiate a satisfactory contract
39 with the highest qualified person or firm on the final list, at
40 compensation and on other contract terms the agent determines to be fair
41 and reasonable, the agent shall formally terminate negotiations with that
42 person or firm. The agent shall then undertake negotiations with the next
43 most qualified person or firm on the final list in sequence until an
44 agreement is reached or a determination is made to reject all persons or
45 firms on the final list.

46 5. If in a procurement under this section the agent terminates
47 negotiations with a person or firm on the final list and commences

1 negotiations with another person or firm on the final list, the agent
2 shall not in that procurement recommence negotiations or enter into a
3 contract for the construction services or professional services covered by
4 the final list with any person or firm on the final list with whom the
5 agent has terminated negotiations.

6 F. As an alternative to subsection E of this section, an agent may
7 award a single contract for design-build construction services or
8 job-order-contracting construction services as follows:

9 1. The agent shall use the selection committee appointed for the
10 request for qualifications pursuant to subsection C of this section.

11 2. The agent shall issue a request for proposals to the persons or
12 firms on the final list developed pursuant to subsection C of this
13 section.

14 3. The request for proposals shall include:

15 (a) The agent's project schedule and project final budget for
16 design and construction or life cycle budget for a procurement that
17 includes maintenance services or operations services.

18 (b) A statement that the contract will be awarded to the offeror
19 whose proposal receives the highest number of points under a scoring
20 method.

21 (c) A description of the scoring method, including a list of the
22 factors in the scoring method and the number of points allocated to each
23 factor. The factors in the scoring method may include:

24 (i) For design-build construction services only, demonstrated
25 compliance with the design requirements.

26 (ii) Offeror qualifications.

27 (iii) Offeror financial capacity.

28 (iv) Compliance with the agent's project schedule.

29 (v) For design-build construction services only, if the request for
30 proposals specifies that the agent will spend its project budget and not
31 more than its project budget and is seeking the best proposal for the
32 project budget, compliance of the offeror's price or life cycle price for
33 procurements that include maintenance services, operations services or
34 finance services with the agent's budget as prescribed in the request for
35 proposals.

36 (vi) For design-build construction services if the request for
37 proposals does not contain the specifications prescribed in item (v) of
38 this subdivision and for job-order-contracting construction services, the
39 price or life cycle price for procurements that include maintenance
40 services, operations services or finance services.

41 (vii) An offeror quality management plan.

42 (viii) Other evaluation factors that demonstrate competence and
43 qualifications for the type of construction services in the request for
44 proposals as determined by the agent, if any.

45 (d) For design-build construction services only, the design
46 requirements.

1 (e) A requirement that each offeror submit separately a technical
2 proposal and a price proposal and that the offeror's entire proposal be
3 responsive to the requirements in the request for proposals. For
4 design-build construction services, the price in the price proposal shall
5 be a fixed price or a guaranteed maximum price.

6 (f) A statement that in applying the scoring method the selection
7 committee will separately evaluate the technical proposal and the price
8 proposal and will evaluate and score the technical proposal before opening
9 the price proposal.

10 (g) If the agent conducts discussions pursuant to paragraph 5 of
11 this subsection, a statement that discussions will be held and a
12 requirement that each offeror submit a preliminary technical proposal
13 before the discussions are held.

14 4. If the agent determines to conduct discussions pursuant to
15 paragraph 5 of this subsection, each offeror shall submit a preliminary
16 technical proposal to the agent before those discussions are held.

17 5. If determined by the agent and included by the agent in the
18 request for proposals, the selection committee shall conduct discussions
19 with all offerors that submit preliminary technical proposals.
20 Discussions shall be for the purpose of clarification to ensure full
21 understanding of, and responsiveness to, the solicitation requirements.
22 Offerors shall be accorded fair treatment with respect to any opportunity
23 for discussion and for clarification by the owner. Revision of
24 preliminary technical proposals shall be permitted after submission of
25 preliminary technical proposals and before award for the purpose of
26 obtaining best and final proposals. In conducting any discussions,
27 information derived from proposals submitted by competing offerors shall
28 not be disclosed to other competing offerors.

29 6. After completion of any discussions pursuant to paragraph 5 of
30 this subsection or if no discussions are held, each offeror shall submit
31 separately the offeror's final technical proposal and its price proposal.

32 7. Before opening any price proposal, the selection committee shall
33 open the final technical proposals, evaluate the final technical proposals
34 and score the final technical proposals using the scoring method in the
35 request for proposals. No other factors or criteria may be used in the
36 evaluation and scoring.

37 8. After completion of the evaluation and scoring of all final
38 technical proposals, the selection committee shall open the price
39 proposals, evaluate the price proposals, score the price proposals and
40 complete the scoring of the entire proposals using the scoring method in
41 the request for proposals. No other factors or criteria may be used in
42 the evaluation and scoring.

43 9. The agent shall award the contract or contracts to the
44 responsive and responsible offeror whose proposal receives the highest
45 score under the method of scoring in the request for proposals. No other
46 factors or criteria may be used in the evaluation. Before or at the same
47 time as the agent notifies the winning offeror that it has won, the agent

1 shall send actual notice to each other offeror either that the offeror has not won or that another offeror has won.

10. The contract or contracts file shall contain the basis on which the award is made, including at a minimum the information and documents required under subsection ~~G~~ H of this section.

11. For design-build construction services only, the agent shall award a stipulated fee equal to a percentage, as prescribed in the request for proposals, of the agent's project final budget for design and construction, as prescribed in the request for proposals, but at least four-tenths of one percent of the project final budget for design and construction to each final list offeror who provides a responsive, but unsuccessful, proposal. If the agent does not award a contract, all responsive final list offerors shall receive the stipulated fee based on the owner's project final budget for design and construction as included in the request for proposals. The agent shall pay the stipulated fee to each offeror within ninety days after the award of the initial contract or the decision not to award a contract. In consideration for paying the stipulated fee, the agent may use any ideas or information contained in the proposals in connection with any contract awarded for the project, or in connection with a subsequent procurement, without any obligation to pay any additional compensation to the offerors. Notwithstanding the other provisions of this paragraph, an offeror may elect to waive the stipulated fee. If an offeror elects to waive the stipulated fee, the agent may not use ideas and information contained in the offeror's proposal, except that this restriction does not prevent the agent from using any idea or information if the idea or information is also included in a proposal of an offeror that accepts the stipulated fee.

G. AS AN ALTERNATIVE TO SUBSECTIONS E AND F OF THIS SECTION, AN AGENT MAY AWARD A SINGLE CONTRACT FOR JOB-ORDER-CONTRACTING CONSTRUCTION SERVICES BY USING A COOPERATIVE PURCHASING AGREEMENT TO PROCURE A CONTRACT FOR JOB-ORDER-CONTRACTING CONSTRUCTION SERVICES IF THE COOPERATIVE AGREEMENT COMPLIES WITH ALL OF THE FOLLOWING:

1. THE PUBLIC PROCUREMENT UNIT CONDUCTING OR ADMINISTERING THE COOPERATIVE PURCHASING AGREEMENT TO PROCURE JOB-ORDER-CONTRACTING CONSTRUCTION SERVICES COMPLIES WITH THE REQUIREMENTS OF SUBSECTION E OR F OF THIS SECTION AND SECTION 41-2632.

2. THE AGENT ENTERS INTO THE JOB-ORDER-CONTRACTING CONSTRUCTION SERVICES CONTRACT FOR A SINGLE PROJECT.

3. THE SINGLE PROJECT SCOPE OF WORK IS CONSISTENT WITH THE SCOPE OF WORK DESCRIBED IN THE COOPERATIVE AGREEMENT.

4. THE SINGLE PROJECT VALUE DOES NOT EXCEED THE MAXIMUM JOB ORDER VALUE ESTABLISHED BY THE COOPERATIVE AGREEMENT.

~~G~~ H. At a minimum, the agent shall retain the following for each procurement under this section:

1. For each request for qualifications procurement process under subsection C or ~~subsection K, paragraph 2~~ L of this section:

(a) If interviews were not held:

- 1 (i) The submittal of the person or firm listed first on the final
2 list and, if different, the submittal of the person or firm with which the
3 agent enters into a contract.
- 4 (ii) The final list.
- 5 (iii) A list of the selection criteria and relative weight of
6 selection criteria used to select the persons or firms for the final list
7 and to determine their order on the final list.
- 8 (iv) A list that contains the name of each person or firm that
9 submitted qualifications and that shows the person's or firm's final
10 overall rank or score.
- 11 (v) A document or documents that show the final score or rank on
12 each selection criterion of each person or firm that submitted
13 qualifications and that support the final overall rankings and scores of
14 the persons or firms that submitted qualifications. At the election of
15 the agent, this documentation may be in the form of a consolidated scoring
16 sheet for the entire selection committee, in the form of individual
17 scoring sheets for individual selection committee members or any other
18 form as determined by the agent.
- 19 (b) If interviews were held:
- 20 (i) All submittals of the person or firm listed first on the final
21 list and, if different, all submittals of the person or firm with which
22 the agent enters into a contract.
- 23 (ii) The final list.
- 24 (iii) A list of the selection criteria and relative weight of
25 selection criteria used to select the persons or firms for the final list
26 and to determine their order on the final list.
- 27 (iv) A list that contains the name of each person or firm that was
28 interviewed and that shows the person's or firm's final overall rank or
29 score.
- 30 (v) A document or documents that show the final score or rank on
31 each selection criterion of each person or firm that was interviewed and
32 that support the final overall rankings and scores of the persons or firms
33 that were interviewed. At the election of the agent, this documentation
34 may be in the form of a consolidated scoring sheet for the entire
35 selection committee, in the form of individual scoring sheets for
36 individual selection committee members or any other form as determined by
37 the agent.
- 38 (vi) A list of the selection criteria and relative weight of the
39 selection criteria used to select the persons or firms for the short list
40 to be interviewed.
- 41 (vii) A list that contains the name of each person or firm that
42 submitted qualifications and that shows the person's or firm's final
43 overall rank or score in the selection of the persons or firms to be on
44 the short list to be interviewed.
- 45 (viii) A document or documents that show the final score or rank on
46 each selection criterion of each person or firm that submitted
47 qualifications and that support the final overall rankings and scores of

1 the persons or firms that submitted qualifications in the selection of the
2 persons or firms to be on the short list to be interviewed. At the
3 election of the agent, this documentation may be in the form of a
4 consolidated scoring sheet for the entire selection committee, in the form
5 of individual scoring sheets for the individual selection committee
6 members or any other form as determined by the agent.

7 2. For each request for proposals procurement process under
8 subsection F or ~~subsection K, paragraph 3~~ L of this section:

9 (a) The entire proposal submitted by the person or firm that
10 received the highest score in the scoring method in the request for
11 proposals and, if different, the entire proposal submitted by the person
12 or firm with which the agent enters into a contract.

13 (b) The description of the scoring method, the list of factors in
14 the scoring method and the number of points allocated to each factor, all
15 as included in the request for proposals.

16 (c) A list that contains the name of each offeror that submitted a
17 proposal and that shows the offeror's final overall score.

18 (d) A document or documents that show the final score on each
19 factor in the scoring method in the request for proposals of each offeror
20 that submitted a proposal and that support the final overall scores of the
21 offerors that submitted proposals. At the election of the agent, this
22 documentation may be in the form of a consolidated scoring sheet for the
23 entire selection committee, in the form of individual scoring sheets for
24 individual selection committee members or in any other form as determined
25 by the agent.

26 ~~H.~~ I. Information relating to each procurement under this section
27 shall be made available to the public as follows:

28 1. Notwithstanding title 39, chapter 1, article 2, until the agent
29 awards a contract or terminates the procurement, only the name of each
30 person or firm on the final list developed pursuant to subsection C ~~or~~
31 ~~subsection K, paragraph 2~~ of this section may be made available to the
32 public. All other information received by the agent in response to the
33 request for qualifications pursuant to subsection C ~~or subsection K,~~
34 ~~paragraph 2~~ of this section or contained in proposals submitted pursuant
35 to subsection F ~~or subsection K, paragraph 3~~ of this section shall be
36 confidential in order to avoid disclosure of the contents that may be
37 prejudicial to competing submitters and offerors during the selection
38 process.

39 2. After the agent awards the contract or terminates the
40 procurement, the agent shall make available to the public pursuant to
41 title 39, chapter 1, article 2 at a minimum all of the items that the
42 agent is required to retain under subsection ~~G~~ H of this section, except
43 the proposals submitted in response to a request for proposals under
44 subsection F or ~~subsection K, paragraph 3~~ L of this section and the
45 document or documents prescribed in subsection ~~G~~ H, paragraph 1,
46 subdivision (a), item (v) and subdivision (b), items (v) and (viii) and
47 paragraph 2, subdivision (d) of this section.

1 3. The proposals submitted under subsection F or ~~subsection K,~~
2 ~~paragraph 3~~ L of this section shall not be made available to the public
3 until after the agent has entered into a contract or terminated the
4 procurement. At a minimum the proposals submitted under subsection F or
5 ~~subsection K, paragraph 3~~ L of this section that the agent is required to
6 retain under subsection ~~G~~ H of this section shall be made available to
7 the public after the agent has entered into a contract or terminated the
8 procurement.

9 4. To the extent that the offeror designates and the agent concurs,
10 trade secrets and other proprietary data contained in a proposal remain
11 confidential.

12 5. The document or documents prescribed in subsection ~~G~~ H,
13 paragraph 1, subdivision (a), item (v) and subdivision (b), items (v) and
14 (viii) and paragraph 2, subdivision (d) of this section are available to
15 the extent provided in title 39, chapter 1, article 2.

16 ~~I~~ J. An agent may cancel a request for qualifications or a
17 request for proposals, reject in whole or in part any or all submittals or
18 proposals, or determine not to enter into a contract as specified in the
19 solicitation if the agent determines in the agent's absolute and sole
20 discretion that the action is in the best interest of the agent. The
21 agent shall make the reasons for cancellation, rejection or determination
22 not to enter into a contract part of the contract file.

23 ~~J~~ K. If the agent does not have a procurement protest policy and
24 procedures that have been formally adopted and published by the agent, for
25 protests relating to procurements under this section the agent shall
26 follow the procurement protest policy and procedures of the department of
27 administration. The agent shall process all protests relating to
28 procurements under this section.

29 ~~K~~ L. Notwithstanding any other law, in a procurement of a single
30 contract for construction-manager-at-risk construction services for
31 horizontal construction AND FOR PROJECTS NOT PRESCRIBED AS HORIZONTAL
32 CONSTRUCTION under this section ONLY FOR FEDERALLY FUNDED PROJECTS, when
33 ~~the federal aviation administration or the federal transit administration~~
34 ~~is a source of monies for the project and~~ price competition is required by
35 the funding federal agency or applicable federal law, rules or
36 regulations, ~~an agent that is a city with a population in excess of one~~
37 ~~million persons or an agent that is a separate legal entity formed under~~
38 ~~section 11-952 by a city with a population in excess of one million~~
39 ~~persons and that is designated as a subgrantee by a city with a population~~
40 ~~in excess of one million persons may do a two-step competition~~ OR FEDERAL
41 FUNDING AGENCY GUIDANCE, AN AGENT MAY CONDUCT A ONE-STEP REQUEST FOR
42 QUALIFICATIONS BEST VALUE COMPETITION in accordance with the following:

43 1. Except as OTHERWISE provided in ~~paragraphs 2 and 3 of~~ this
44 subsection, all provisions of law applicable to
45 construction-manager-at-risk construction services apply to
46 construction-manager-at-risk construction services for horizontal
47 construction AND FOR PROJECTS NOT PRESCRIBED AS HORIZONTAL CONSTRUCTION

1 procured under this subsection, including the provisions applicable to
2 horizontal construction ~~AND TO PROJECTS NOT PRESCRIBED AS HORIZONTAL~~
3 ~~CONSTRUCTION~~. The requirements in section 34-605, subsection B apply only
4 if the contractor provides preconstruction services. Bid security is not
5 required under section 34-608 ~~for construction-manager-at-risk~~
6 ~~construction services for horizontal construction procured under this~~
7 ~~subsection~~, but an agent may elect to require bid security in which event
8 the bid security process and requirements shall be as set forth in section
9 34-608.

10 ~~2. In the first step of the two-step competition for procurement of~~
11 ~~construction-manager-at-risk construction services for horizontal~~
12 ~~construction, the agent shall follow the request for qualifications~~
13 ~~process and the requirements in subsection C of this section. For~~
14 ~~purposes of applying the requirements in subsection C, paragraph 1,~~
15 ~~subdivision (f), item (ii), paragraph 2, subdivision (b) and paragraph 3,~~
16 ~~subdivisions (b), (c) and (d) of this section only, a procurement under~~
17 ~~this subsection shall be deemed to be procurement of a contract to be~~
18 ~~awarded under subsection F of this section and not of a contract to be~~
19 ~~negotiated under subsection E of this section.~~

20 2. THE AGENT SHALL ISSUE A SINGLE REQUEST FOR QUALIFICATIONS AND
21 MAY, AT ITS OPTION, CONDUCT INTERVIEWS AS PART OF THE EVALUATION PROCESS.
22 IF INTERVIEWS ARE HELD, THE AGENT SHALL SPECIFY THE INTERVIEW CRITERIA AND
23 THEIR RELATIVE WEIGHTS IN THE REQUEST FOR QUALIFICATIONS. INTERVIEWS SHALL
24 ADDRESS ONLY QUALITATIVE AND TECHNICAL PROPOSALS. PRICES OR FEES MAY NOT
25 BE PART OF THE INTERVIEWS.

26 3. ~~In the second step of the two-step competition~~ WHEN PROCURING
27 PROJECTS UNDER THIS SUBSECTION:

28 ~~(a) The agent shall use the selection committee appointed for the~~
29 ~~request for qualifications pursuant to subsection C of this section.~~

30 ~~(b) The agent shall issue a request for proposals to the offerors~~
31 ~~on the final list developed pursuant to subsection C of this section.~~

32 ~~(c)~~ (a) The request for ~~proposals~~ QUALIFICATIONS shall include:

33 (i) A statement that one contract may or will be awarded and that
34 one offeror may or will be awarded the contract.

35 (ii) A description of the construction-manager-at-risk construction
36 services ~~for horizontal construction~~ to be performed under the contract.

37 (iii) A requirement that each offeror submit separately a
38 qualitative and technical proposal and a price proposal LIMITED TO THE
39 CONSTRUCTION MANAGEMENT FEE, PRECONSTRUCTION SERVICES FEE AND DESIGN
40 SERVICES FEE AND ANY OTHER PRICING ELEMENTS EXPRESSLY ALLOWED BY FEDERAL
41 GUIDANCE and that the offeror's entire proposal be responsive to the
42 requirements in the request for ~~proposals~~ QUALIFICATIONS.

43 (iv) The required contents of the qualitative and technical
44 proposals and the price proposals.

45 (v) Information to be used by offerors to prepare the qualitative
46 and technical proposals and the price proposals.

1 (vi) A statement that in applying the scoring method the selection
2 committee will evaluate and score the qualitative and technical proposals
3 before opening the price proposals.

4 (vii) A statement that the agent will use the scoring method
5 described in the request for ~~proposals~~ **QUALIFICATIONS** to determine the
6 winning offeror and that the winning offeror will be the offeror whose
7 proposal receives the highest number of points under the scoring method.

8 (viii) A description of the scoring method. The scoring method
9 shall be a best-value method in which the agent establishes criteria to
10 score the qualitative and technical proposal and separate criteria to
11 score the price proposal and the number of points assigned to each
12 ~~criteria~~ **CRITERION**. The number of points assigned to price criteria shall
13 not exceed ten percent of the total number of points in the scoring
14 method.

15 ~~(ix) If the agent elects to conduct discussions pursuant to~~
16 ~~subdivision (e) of this paragraph, a statement that discussions will be~~
17 ~~held and a requirement that each offeror submit a preliminary qualitative~~
18 ~~and technical proposal before the discussions are held.~~

19 ~~(d) If the agent determines to conduct discussions pursuant to~~
20 ~~subdivision (e) of this paragraph, each offeror shall submit a preliminary~~
21 ~~qualitative and technical proposal to the agent before those discussions~~
22 ~~are held.~~

23 ~~(e) If determined by the agent and included by the agent in the~~
24 ~~request for proposals, the selection committee shall conduct discussions~~
25 ~~with all offerors solely about their preliminary qualitative and technical~~
26 ~~proposals. Discussions shall be for the purpose of clarification to~~
27 ~~ensure full understanding of, and responsiveness to, the solicitation~~
28 ~~requirements, other than price. Offerors shall be accorded fair treatment~~
29 ~~with respect to any opportunity for discussion and for clarification by~~
30 ~~the selection committee. Revision of preliminary qualitative and~~
31 ~~technical proposals shall be permitted after submission of preliminary~~
32 ~~qualitative and technical proposals and before scoring of proposals for~~
33 ~~the purpose of obtaining best and final proposals. In conducting any~~
34 ~~discussions, information derived from the preliminary qualitative and~~
35 ~~technical proposals submitted by competing offerors shall not be disclosed~~
36 ~~to other competing offerors. Price shall not be part of the discussions.~~

37 ~~(f) After completion of any discussions pursuant to subdivision (e)~~
38 ~~of this paragraph or if no discussions are held, each offeror shall submit~~
39 ~~separately the offeror's final qualitative and technical proposal and its~~
40 ~~price proposal.~~

41 ~~(g) In evaluating and scoring the offerors' proposals the selection~~
42 ~~committee shall use the scoring method specified in the request for~~
43 ~~proposals.~~

44 ~~(h)~~ (b) Before opening any price proposal, the selection committee
45 shall open the final qualitative and technical proposals, evaluate the
46 final qualitative and technical proposals and score the final qualitative
47 and technical proposals using the qualitative and technical criteria and

1 assigned points in the scoring method in the request for proposals. No
2 other factors or criteria may be used in the evaluation and scoring.

3 ~~(j)~~ (c) After completion of the evaluation and scoring of all
4 final qualitative and technical proposals, the selection committee shall
5 open the price proposals and score the price proposals using the price
6 criteria and assigned points in the scoring method in the request for
7 proposals. No other factors or criteria may be used in the evaluation and
8 scoring.

9 ~~(j)~~ (d) After evaluating and scoring the price proposals, the
10 selection committee shall add the qualitative and technical proposal score
11 and the price proposal score of each offeror together for a total
12 score. The responsive and responsible offeror with the highest total
13 score is the winning offeror.

14 ~~(k)~~ (e) The agent shall promptly notify the winning offeror that
15 it is the winner. Before or at the same time as the agent notifies the
16 winning offeror that it is the winner, the agent shall send actual notice
17 to each other offeror either that the offeror is not the winner or that
18 another offeror is the winner.

19 ~~(l)~~ (f) The contract or contracts file shall contain the basis on
20 which the award is made, including at a minimum the information and
21 documents required under subsection ~~h~~ H of this section.

22 4. Notwithstanding this subsection, an agent shall not procure any
23 construction-manager-at-risk construction services for horizontal
24 construction pursuant to this subsection after December 31, 2030. For the
25 purposes of this paragraph, an agent procures construction-manager-at-risk
26 construction services for horizontal construction pursuant to this
27 subsection when the contract for the construction-manager-at-risk
28 construction services for horizontal construction is executed by the agent
29 and the contractor. If a contract is executed for
30 construction-manager-at-risk construction services for horizontal
31 construction procured pursuant to this subsection on or before
32 December 31, 2030, construction services under the contract may be
33 rendered in whole or in part after December 31, 2030.

34 ~~L. For the purposes of this section, "professional services"~~
35 ~~includes architect services, engineer services, landscape architect~~
36 ~~services, assayer services, geologist services and land surveying services~~
37 ~~and any combination of those services.~~

38 M. NOTWITHSTANDING ANY OTHER LAW, IN A PROCUREMENT OF A SINGLE
39 CONTRACT FOR PROGRESSIVE DESIGN-BUILD SERVICES FOR HORIZONTAL CONSTRUCTION
40 AND FOR PROJECTS NOT DEFINED AS HORIZONTAL CONSTRUCTION UNDER THIS SECTION
41 ONLY FOR FEDERALLY FUNDED PROJECTS, WHEN PRICE COMPETITION IS REQUIRED BY
42 THE FUNDING FEDERAL AGENCY OR APPLICABLE FEDERAL LAW, RULES OR REGULATIONS
43 OR FEDERAL FUNDING AGENCY GUIDANCE, AN AGENT MAY CONDUCT A PROCUREMENT
44 PROCESS IN ACCORDANCE WITH THE FOLLOWING:

45 1. THE AGENT MAY PROCURE PROGRESSIVE DESIGN-BUILD CONSTRUCTION
46 SERVICES UNDER THIS SECTION FOR HORIZONTAL CONSTRUCTION AND FOR PROJECTS

1 NOT DEFINED AS HORIZONTAL CONSTRUCTION, SUBJECT TO THE REQUIREMENTS OF
2 SUBSECTIONS C AND E OF THIS SECTION AND SECTION 34-605.

3 2. THE AGENT SHALL ISSUE A SINGLE REQUEST FOR QUALIFICATIONS AND
4 MAY, AT ITS OPTION, CONDUCT INTERVIEWS AS PART OF THE EVALUATION PROCESS.
5 IF INTERVIEWS ARE HELD, THE AGENT SHALL SPECIFY THE INTERVIEW CRITERIA AND
6 THEIR RELATIVE WEIGHTS IN THE REQUEST FOR QUALIFICATIONS. INTERVIEWS
7 SHALL ADDRESS ONLY THE QUALITATIVE AND TECHNICAL PROPOSALS. PRICES OR FEES
8 MAY NOT BE PART OF THE INTERVIEWS.

9 3. WHEN PROCURING PROJECTS UNDER THIS SUBSECTION:

10 (a) THE REQUEST FOR QUALIFICATIONS SHALL INCLUDE:

11 (i) A STATEMENT THAT ONE CONTRACT MAY OR WILL BE AWARDED AND THAT
12 ONE OFFEROR MAY OR WILL BE AWARDED THE CONTRACT.

13 (ii) A DESCRIPTION OF THE DESIGN-BUILD SERVICES TO BE PERFORMED
14 UNDER THE CONTRACT.

15 (iii) A REQUIREMENT THAT EACH OFFEROR SUBMIT SEPARATELY A
16 QUALITATIVE AND TECHNICAL PROPOSAL AND A PRICE PROPOSAL LIMITED TO THE
17 PRECONSTRUCTION SERVICES FEE, DESIGN SERVICES FEE AND CONSTRUCTION
18 MANAGEMENT FEE AND ANY OTHER PRICING ELEMENTS EXPRESSLY ALLOWED BY FEDERAL
19 GUIDANCE AND THAT THE OFFEROR'S ENTIRE PROPOSAL BE RESPONSIVE TO THE
20 REQUIREMENTS IN THE REQUEST FOR QUALIFICATIONS.

21 (iv) THE REQUIRED CONTENTS OF THE QUALITATIVE AND TECHNICAL
22 PROPOSALS AND THE PRICE PROPOSALS.

23 (v) INFORMATION TO BE USED BY OFFERORS TO PREPARE THE QUALITATIVE
24 AND TECHNICAL PROPOSALS AND THE PRICE PROPOSALS.

25 (vi) A STATEMENT THAT IN APPLYING THE SCORING METHOD THE SELECTION
26 COMMITTEE WILL EVALUATE AND SCORE THE QUALITATIVE AND TECHNICAL PROPOSALS
27 BEFORE OPENING THE PRICE PROPOSALS.

28 (vii) A STATEMENT THAT THE AGENT WILL USE THE SCORING METHOD
29 DESCRIBED IN THE REQUEST FOR QUALIFICATIONS TO DETERMINE THE WINNING
30 OFFEROR AND THAT THE WINNING OFFEROR WILL BE THE OFFEROR WHOSE PROPOSAL
31 RECEIVES THE HIGHEST NUMBER OF POINTS UNDER THE SCORING METHOD.

32 (viii) A DESCRIPTION OF THE SCORING METHOD. THE SCORING METHOD
33 SHALL BE A BEST-VALUE METHOD IN WHICH THE AGENT ESTABLISHES CRITERIA TO
34 SCORE THE QUALITATIVE AND TECHNICAL PROPOSAL AND SEPARATE CRITERIA TO
35 SCORE THE PRICE PROPOSAL AND THE NUMBER OF POINTS ASSIGNED TO EACH
36 CRITERION. THE NUMBER OF POINTS ASSIGNED TO PRICE CRITERIA SHALL NOT
37 EXCEED TEN PERCENT OF THE TOTAL NUMBER OF POINTS IN THE SCORING METHOD.

38 (b) BEFORE OPENING ANY PRICE PROPOSAL, THE SELECTION COMMITTEE
39 SHALL OPEN THE FINAL QUALITATIVE AND TECHNICAL PROPOSALS, EVALUATE THE
40 FINAL QUALITATIVE AND TECHNICAL PROPOSALS AND SCORE THE FINAL QUALITATIVE
41 AND TECHNICAL PROPOSALS USING THE QUALITATIVE AND TECHNICAL CRITERIA AND
42 ASSIGNED POINTS IN THE SCORING METHOD IN THE REQUEST FOR PROPOSALS. NO
43 OTHER FACTORS OR CRITERIA MAY BE USED IN THE EVALUATION AND SCORING.

44 (c) AFTER COMPLETION OF THE EVALUATION AND SCORING OF ALL FINAL
45 QUALITATIVE AND TECHNICAL PROPOSALS, THE SELECTION COMMITTEE SHALL OPEN
46 THE PRICE PROPOSALS AND SCORE THE PRICE PROPOSALS USING THE PRICE CRITERIA

1 AND ASSIGNED POINTS IN THE SCORING METHOD IN THE REQUEST FOR PROPOSALS. NO
2 OTHER FACTORS OR CRITERIA MAY BE USED IN THE EVALUATION AND SCORING.

3 (d) AFTER EVALUATING AND SCORING THE PRICE PROPOSALS, THE SELECTION
4 COMMITTEE SHALL ADD THE QUALITATIVE AND TECHNICAL PROPOSAL SCORE AND THE
5 PRICE PROPOSAL SCORE OF EACH OFFEROR TOGETHER FOR A TOTAL SCORE. THE
6 RESPONSIVE AND RESPONSIBLE OFFEROR WITH THE HIGHEST TOTAL SCORE IS THE
7 WINNING OFFEROR.

8 (e) THE AGENT SHALL PROMPTLY NOTIFY THE WINNING OFFEROR THAT IT IS
9 THE WINNER. BEFORE OR AT THE SAME TIME AS THE AGENT NOTIFIES THE WINNING
10 OFFEROR THAT IT IS THE WINNER, THE AGENT SHALL SEND ACTUAL NOTICE TO EACH
11 OTHER OFFEROR EITHER THAT THE OFFEROR IS NOT THE WINNER OR THAT ANOTHER
12 OFFEROR IS THE WINNER.

13 (f) THE CONTRACT OR CONTRACTS FILE SHALL CONTAIN THE BASIS ON WHICH
14 THE AWARD IS MADE, INCLUDING AT A MINIMUM THE INFORMATION AND DOCUMENTS
15 REQUIRED UNDER SUBSECTION H OF THIS SECTION.

16 4. NOTWITHSTANDING SUBSECTION F, PARAGRAPH 11 OF THIS SECTION,
17 STIPULATED FEES TO UNSUCCESSFUL OFFERORS SHALL NOT BE PAID IN PROGRESSIVE
18 DESIGN-BUILD PROCUREMENTS UNDER THIS SUBSECTION.

19 5. AN AGENT SHALL NOT PROCURE PROGRESSIVE DESIGN-BUILD CONSTRUCTION
20 SERVICES PURSUANT TO THIS SUBSECTION AFTER DECEMBER 31, 2030. FOR THE
21 PURPOSES OF THIS PARAGRAPH, AN AGENT PROCURES PROGRESSIVE DESIGN-BUILD
22 CONSTRUCTION SERVICES PURSUANT TO THIS SUBSECTION WHEN THE CONTRACT FOR
23 PROGRESSIVE DESIGN-BUILD CONSTRUCTION SERVICES IS EXECUTED BY THE AGENT
24 AND THE CONTRACTOR. IF A CONTRACT IS EXECUTED FOR PROGRESSIVE DESIGN-BUILD
25 CONSTRUCTION SERVICES PROCURED PURSUANT TO THIS SUBSECTION ON OR BEFORE
26 DECEMBER 31, 2030, CONSTRUCTION SERVICES UNDER THE CONTRACT MAY BE
27 RENDERED IN WHOLE OR IN PART AFTER DECEMBER 31, 2030.

28 N. FOR PURPOSES OF THIS SECTION, "PROGRESSIVE DESIGN-BUILD" MEANS A
29 PROJECT DELIVERY PROCESS IN WHICH ALL OF THE FOLLOWING APPLY:

30 1. BOTH THE DESIGN AND CONSTRUCTION OF THE PROJECT ARE PROCURED
31 FROM A SINGLE ENTITY SELECTED THROUGH A QUALIFICATIONS-BASED SELECTION AT
32 THE EARLIEST FEASIBLE STAGE OF THE PROJECT.

33 2. THE AGENT ENTERS INTO A CONTRACT FOR PRECONSTRUCTION AND DESIGN
34 SERVICES.

35 3. A FIXED PRICE OR GUARANTEED MAXIMUM PRICE FOR CONSTRUCTION IS
36 SUBSEQUENTLY NEGOTIATED AFTER SUFFICIENT DESIGN ADVANCEMENT.

37 Sec. 4. Section 34-605, Arizona Revised Statutes, is amended to
38 read:

39 34-605. Requirements applicable to construction services and
40 professional services and to contracts for
41 construction services and professional services;
42 definition

43 A. The requirements prescribed in this section apply to each
44 contract entered into as the result of a procurement under section 34-603,
45 34-604 or 34-606 and to the professional services and construction
46 services included in each procurement under section 34-603, 34-604 or
47 34-606.

1 B. If a procurement under section 34-603 is for
2 construction-manager-at-risk construction services or design-build
3 construction services to be contracted pursuant to section 34-603,
4 subsection E or if a procurement under section 34-606 is for
5 construction-manager-at-risk construction services or design-build
6 construction services, the agent shall enter into a written contract with
7 the contractor for preconstruction services under which the agent shall
8 pay the contractor a fee for preconstruction services in an amount agreed
9 by the agent and the contractor, and the agent shall not request or obtain
10 a fixed price or a guaranteed maximum price for the construction from the
11 contractor or enter into a construction contract with the contractor until
12 after the agent has entered into the written contract for preconstruction
13 services and a preconstruction services fee.

14 C. If a contract for construction services is entered into as the
15 result of a procurement under section 34-603, 34-604 or 34-606,
16 construction shall not commence until the agent and contractor agree in
17 writing on either a fixed price that the agent will pay for the
18 construction to be commenced or a guaranteed maximum price for the
19 construction to be commenced. The construction to be commenced may be the
20 entire project or may be one or more phased parts of the project.

21 D. A contract for professional services entered into as the result
22 of a procurement under section 34-603, 34-604 or 34-606 shall have a term
23 not exceeding five years after the date of contract award by the agent of
24 the first contract under the procurement, except that the contract may
25 continue in effect after the five-year term for professional services on
26 projects on which the rendering of professional services commences within
27 the five-year term.

28 E. Notwithstanding any other law:

29 1. The contractor for design-build or job-order-contracting
30 construction services is not required to be registered to perform design
31 services pursuant to title 32, chapter 1 if the person or firm actually
32 performing the design services on behalf of the contractor is
33 appropriately registered.

34 2. The contractor for construction-manager-at-risk, design-build or
35 job-order-contracting construction services shall be licensed to perform
36 construction pursuant to title 32, chapter 10.

37 F. For job-order-contracting construction services only:

38 1. The maximum dollar amount of an individual job order shall be
39 \$1,000,000 or such higher or lower amount prescribed by the agent in an
40 action noticed pursuant to title 38, chapter 3, article 3.1 or a rule
41 adopted by the agent as the maximum amount of an individual job order.
42 Requirements shall not be artificially divided or fragmented in order to
43 constitute a job order that satisfies this requirement.

44 2. If the contractor subcontracts or intends to subcontract part or
45 all of the work under a job order and if the job-order-contracting
46 construction services contract includes descriptions of standard
47 individual tasks, standard unit prices for standard individual tasks and

1 pricing of job orders based on the number of units of standard individual
2 tasks in the job order:

3 (a) The contractor has a duty to deliver promptly to each
4 subcontractor invited to bid a coefficient to the contractor to do all or
5 part of the work under one or more job orders:

6 (i) A copy of the descriptions of all standard individual tasks on
7 which the subcontractor is invited to bid.

8 (ii) A copy of the standard unit prices for the individual tasks on
9 which the subcontractor is invited to bid.

10 (b) If not previously delivered to the subcontractor, the
11 contractor has a duty to deliver promptly the following to each
12 subcontractor invited to or that has agreed to do any of the work included
13 in any job order:

14 (i) A copy of the description of each standard individual task that
15 is included in the job order and that the subcontractor is invited to
16 perform.

17 (ii) The number of units of each standard individual task that is
18 included in the job order and that the subcontractor is invited to
19 perform.

20 (iii) The standard unit price for each standard individual task
21 that is included in the job order and that the subcontractor is invited to
22 perform.

23 G. The following apply to horizontal construction:

24 1. Notwithstanding this chapter, an agent shall not procure any
25 horizontal construction using the construction-manager-at-risk,
26 design-build or job-order-contracting method of project delivery after
27 December 31, 2030. For purposes of this paragraph, an agent procures
28 horizontal construction when the contract for the construction services is
29 executed by the agent and the contractor for the
30 construction-manager-at-risk, design-build or job-order-contracting
31 construction services. If a contract is executed for construction
32 services on or before December 31, 2030, construction services under the
33 contract may be rendered in whole or in part after December 31, 2030.

34 2. For each horizontal construction project under a design-build or
35 construction-manager-at-risk construction services contract, the licensed
36 contractor performing the contract shall perform, with the contractor's
37 own organization, construction work that amounts to not less than
38 forty-five percent of the total contract price for the construction,
39 except that for light rail the self-performance percentage shall be not
40 less than thirty percent.

41 3. A project is horizontal construction if more than one-half of
42 the total contract price for the construction is for horizontal
43 construction. Project elements shall not be artificially added in order
44 to make a project not horizontal construction and shall not be
45 artificially deleted in order to make a project horizontal construction.

46 4. The total contract price for the construction does not include
47 the cost of preconstruction services, design services or any other related

1 services or the cost to procure any right-of-way or other cost of
2 condemnation.

3 H. Notwithstanding any contrary provision of this section or this
4 title, an agent shall not:

5 1. Enter into a contract as contractor to provide
6 construction-manager-at-risk construction services, design-build
7 construction services or job-order-contracting construction services.

8 2. Contract with itself, with another agent, with this state or
9 with any other governmental unit of this state or the federal government
10 for the agent to provide construction-manager-at-risk construction
11 services, design-build construction services or job-order-contracting
12 construction services.

13 I. The prohibitions prescribed in subsection H of this section do
14 not prohibit an agent from providing construction for itself as provided
15 by law.

16 J. The agent shall include in each contract for construction
17 services the full street or physical address of each separate location at
18 which the construction will be performed and a requirement that the
19 contractor and each subcontractor at any level include in each of its
20 subcontracts the same address information. The contractor and each
21 subcontractor at any level shall include in each subcontract the full
22 street or physical address of each separate location at which construction
23 work will be performed.

24 K. The following apply to all construction services procured under
25 this chapter:

26 1. The contractor performing the construction services is permitted
27 to self-perform part of the construction work if and to the extent agreed
28 in writing by the agent and the contractor. The agent may use methods
29 other than competitive bidding to assure itself that the price the agent
30 pays to the contractor for self-performed work is fair and reasonable.
31 Allowable methods to evaluate fairness and reasonableness of the price of
32 self-performed work include evaluating the contractor's proposed scope of
33 work and price for self-performed work by an estimator who is hired and
34 paid by the agent, who is independent of the contractor and who may be an
35 employee of the agent. Although the agent may elect to so require, this
36 chapter, this title or any other law shall not be construed or interpreted
37 to require the agent to require a contractor desiring to self-perform part
38 of the construction work to competitively bid that part of the
39 construction work against other contractors in a bid competition.

40 2. The following requirements apply to the construction work to be
41 performed by subcontractors and do not apply to construction work that the
42 agent and the contractor agree in writing will be self-performed by the
43 contractor:

44 (a) The person or firm selected to perform the construction
45 services shall select subcontractors based on qualifications alone or on a
46 combination of qualifications and price and shall not select
47 subcontractors based on price alone. A qualifications and price selection

1 may be a single-step selection based on a combination of qualifications
2 and price or a two-step selection. In a two-step selection, the first
3 step shall be based on qualifications alone and the second step may be
4 based on a combination of qualifications and price or on price alone.

5 (b) The agent shall include in each contract:

6 (i) If the agent included its subcontractor selection plan in the
7 request for qualifications, the agent's subcontractor selection plan and
8 the procedures to implement the agent's subcontractor selection plan
9 proposed by the selected person or firm in submitting its qualifications
10 with those modifications to the procedures as the agent and the selected
11 person or firm agree.

12 (ii) If the agent did not include its subcontractor selection plan
13 in the request for qualifications, the subcontractor selection plan
14 proposed by the selected person or firm in submitting its qualifications
15 with those modifications as the agent and the selected person or firm
16 agree.

17 (c) In making the selection of subcontractors, the person or firm
18 selected to perform the construction services shall use the subcontractor
19 selection plan and any procedures included in its contract.

20 L. If the agent does not have a procurement protest policy and
21 procedures that have been formally adopted and published by the agent, for
22 protests relating to procurements under this chapter the agent shall
23 follow the procurement protest policy and procedures of the department of
24 administration. The agent shall process all protests relating to
25 procurements under this section. If the agent does have a procurement
26 protest policy and procedures that have been formally adopted and
27 published by the agent, the agent may choose to make information relating
28 to each procurement available earlier than required under section 34-603,
29 subsection ~~H~~ I and section 34-604, subsection H if the agent determines
30 the release of the information is necessary to adequately follow and
31 manage its procurement protest policy and procedures.

32 M. For the purposes of this section, "professional services"
33 includes architect services, engineer services, landscape architect
34 services, assayer services, geologist services and land surveying services
35 and any combination of those services."

36 Amend title to conform

And, as so amended, it do pass

DAVID LIVINGSTON
CHAIRMAN

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